NISM SERIES X-C · NISM PRE-RECORDED TRAINING DECK (CONTENT UP TO AUG 2024 CIRCULARS; EXAM LAUNCHED NOV 2024) WORKBOOK · STUDY NOTES

Investment Adviser – Renewal

Already an RIA? Three hours of what changed, one hour of 50 questions, and your X-A + X-B live for 3 more years.

Think of X-C as the annual service of a car you already own. You passed X-A and X-B (the driving test) long ago; X-C checks that you know the new road rules: BSE now supervises IAs, the advertisement code got strict, cyber-security rules arrived, and capital gains tax was rewritten. You watch about 3 hours of NISM videos, then take a 50-question, 1-hour online test with no negative marking. SEBI wants every adviser to keep up, because stale knowledge means wrong advice to real families.

📋 Exam pattern

50	60 min	50%	No negative marking
Total marks	Duration	Pass mark	Negative marking

50 multiple choice questions · Online and remotely proctored (webcam and mic). You must first watch about 2–3 hours of pre-recorded NISM training videos, then sit the 1-hour test in one sitting within a 5-day window. Fee ₹2,500. Pass mark 25/50. Laptop/desktop only, no phones. Certificate issued only after proctoring review and only if PAN is on your profile. All pattern facts are from nism.ac.in (the training deck itself has no exam details).

👥 Who needs it

- Individual Investment Advisers, principal officers and persons associated with investment advice who already hold valid NISM X-A (Level 1) and X-B (Level 2) certificates (eligibility per NISM website)
- Holders whose X-A or X-B certificate is due to expire within the next 12 months: X-C renews both together (per NISM FAQ; once a certificate has expired, you can no longer enrol)
- Anyone who wants to avoid the SEBI-order trap in the deck: an IA penalised for practising without a valid NISM X-A for almost 16 months

🧭 Exam strategy

- There is no negative marking: never leave a question blank; guess smartly if unsure.
- You need only 25/50. Aim for 40+ by nailing the number-heavy chapters (3, 4, 5).
- 60 minutes for 50 questions = about 70 seconds each; do one quick pass, flag doubts, then return.
- Watch the NISM videos actively: the exam is drawn from them, so note every date, timeline and threshold you hear.
- For 'which is prohibited' ad questions, ask: does it promise, compare, boast or bribe? If yes, it's prohibited.
- For timeline questions, first decide who the clock is for (IA, BSE, SEBI, complainant) and whether it is calendar or working days.
- For CSCRF, anchor on the IA answer: individual IA excluded, non-individual IA = Small-size RE.
- For behavioural-finance scenarios, find the trigger word: 'first price' = anchoring, 'everyone is buying' = herding, 'recent' = recency, 'unknown odds' = ambiguity aversion.
- The exam is remotely proctored: keep the webcam on, finish in one sitting, use a laptop on a non-VPN network.



Chapter 1 · Weight: Medium

New products and services (New asset class, REITs & InvITs)

SEBI proposed a new asset class sitting between mutual funds and PMS, for investors who were drifting to unregistered schemes. The chapter also refreshes REITs (income-producing real estate) and InvITs (income-producing infrastructure): what they are, how big they are in India, what drives them and what holds them back.

> **MAKE IT STICK**
> Imagine a ladder with a missing rung: mutual funds at ₹500, PMS at ₹50 lakh, and nothing regulated in between, so people climb onto shaky 'unregistered' planks. The new asset class is the missing rung at ₹10 lakh, built inside the MF house but painted a different colour so nobody confuses it with a plain MF.

1. New asset class objective: give a flexible, regulated option between MFs and PMS to investors who are leaning toward unregistered and unauthorised schemes.
2. Eligibility route 1: a mutual fund with at least 3 years of operation AND ₹10,000 crore AUM. Route 2: appoint experienced fund managers with a proven track record managing large portfolios.
3. Structure: under the MF framework, with relaxed prudential norms for higher risk-taking but adequate safeguards.
4. AMCs offer 'Investment Strategies' under this class, with customisable redemption frequencies and units that may be listed on stock exchanges.
5. Investment flexibility: derivatives exposure beyond hedging, and proposed relaxations in single-issuer and sector limits.
6. Minimum investment: ₹10 lakh per investor.

7 Separate branding to differentiate it from traditional MFs and protect MF schemes' reputation from its risks/underperformance.

8 REITs own, operate or finance income-generating real estate; investors share rental income without buying or managing property.

9 REITs in India: introduced by SEBI in 2014, first REIT launched in 2019, mainly commercial real estate (offices, retail), 3 major REITs, dividend yields so far 6–8% p.a.

10 InvITs own, operate or finance income-generating infrastructure (roads, power transmission, telecom towers); regulated by SEBI; first InvIT 2019; roughly 7 listed; yields so far 8–10% p.a.

11 Growth drivers: REITs = urbanisation and office-space demand; InvITs = government push for infrastructure and high GDP growth.

12 Common challenges for both: low investor awareness and limited number of quality assets. Opportunity: more institutional and retail participation.

13 Key takeaway: these products add diversification, but products and regulations are still evolving (early days).

New asset class: MF track record **≥ 3 years of operation**	New asset class: MF AUM **≥ ₹10,000 crore**	New asset class: minimum ticket **₹10 lakh per investor**
REITs introduced by SEBI **2014 (first REIT 2019)**	REIT yield so far **6–8% p.a. (3 major REITs)**	InvIT yield so far **8–10% p.a. (~7 listed, first in 2019)**

🎯 EXAM TIP

Expect direct questions on the ₹10 lakh minimum, the 3-year/₹10,000 crore eligibility route, derivatives 'beyond hedging', and the REIT vs InvIT yield ranges and asset types.

⚠️ TRAP

Don't swap the yields: REITs 6–8%, InvITs 8–10% (Infra pays more). And the new asset class sits under the MF framework, not the PMS framework, even though its ticket size (₹10 lakh) is closer to PMS.



Chapter 2 · Weight: Medium

Taxation in securities markets: Recent changes in capital gains tax

Union Budget 2024 simplified capital gains: fewer holding periods (1 year or 2 years), streamlined rates, and no more indexation. Advisers must now look at holding period, asset type, investor category, purchase date and sale date to know which rule applies, and rethink tax planning.

MAKE IT STICK

Old capital gains tax was like a city with five different parking-time rules. Budget 2024 repainted the signs: only two time limits (1 year, 2 years), and the 'inflation discount coupon' (indexation) was taken away. Simpler to read, but some drivers now pay more.

1. Important concepts to understand capital gains tax: indexation, holding period, grandfathering and set-off provisions.
2. Two types of capital gains: short-term and long-term.
3. Budget 2024 changes: streamlining of tax rates; only two time periods (1 year or 2 years) to decide long-term vs short-term; removal of indexation benefit.
4. No change to tax-saving clauses such as Section 80C and Section 80D.
5. Long-term period for REITs and InvITs reduced from 3 years to 1 year.
6. Tax treatment now depends on: holding period (1 or 2 years), type of asset (type of investment; listed or unlisted), investor category (resident Indian, non-resident, non-individual).
7. Also depends on purchase date (before vs on/after April 1, 2024) and sale date (before July 23, 2024; on/after July 23, 2024 but before April 1, 2025; later).
8. Tax planning: tax deferral in certain assets; tax-loss harvesting still possible but with fewer opportunities because of higher LTCG tax on debt mutual funds and removal of indexation.
9. Implications for IAs: optimise taxes, consider the tax impact of portfolio rebalancing, use tax-deferment vehicles such as mutual funds or NPS.
10. IAs must guide clients to tax-efficient decisions and stay updated, because tax changes affect investment returns on securities-market products.
11. Key takeaway: capital gains structure is simpler, with fewer periods and rates; removing indexation simplifies the calculation.

Holding periods after Budget 2024	**Only two: 1 year or 2 years**
REIT/InvIT long-term period	**Reduced from 3 years to 1 year**
Key sale-date cut-off	**July 23, 2024**
Key purchase-date cut-off	**April 1, 2024**
Indexation	**Removed**
80C / 80D	**Unchanged**

🎯 **EXAM TIP**

The deck gives structure, not rate tables, so questions focus on what changed (two holding periods, indexation removed, REIT/InvIT 3→1 year, 80C/80D unchanged) and the five factors that decide treatment.

⚠️ **TRAP**

Tax-loss harvesting is NOT abolished; it is still possible, just with fewer opportunities. And mutual funds/NPS are cited as tax-DEFERMENT vehicles, not tax-exempt ones.

Chapter 3 · Weight: High

Regulatory Changes: IAASB, Annual Compliance Audit, Periodic Reporting, SCORES & ODR

BSE is now the Investment Adviser Administration and Supervisory Body (IAASB): registrations, changes, annual audit reports and half-yearly reports all go to BSE. Grievances must be resolved within 21 calendar days via the new SCORES flow, and every IA must be on the Online Dispute Resolution (ODR) portal.

MAKE IT STICK

SEBI is the school principal; BSE is now the class teacher who collects your homework (audit reports, half-yearly returns) and checks your attendance (registrations). If a parent complains, SCORES sends the note to you and the class teacher at the same time, and you have 21 days to reply.

1. SEBI circular dated July 12, 2024 recognised BSE Limited as RAASB and IAASB under Regulation 14 of the RA Regulations, 2014 and IA Regulations, 2013, for 5 years from July 25, 2024.
2. Existing IAs/RAs with BASL/BSE membership enlisted on the Exchange w.e.f. July 25, 2024; new applications go to BSE online at membershipraia.bseindia.com.
3. All new registrations or changes to registration are handled via BSE (erstwhile BASL); annual reports, periodic reports and compliance go to BSE.
4. Annual compliance audit (Reg 19(3)): conducted yearly by a member of ICAI or ICSI within 6 months from the end of each financial year.
5. Client-level segregation certificate: from an auditor (individual IA) or statutory auditor (non-individual IA) within 6 months of FY end; it forms part of the compliance audit report.
6. Adverse audit findings with action taken (approved by the individual IA / management) go to BSE within 1 month of the audit report, but not later than October 31 for the previous FY.
7. Periodic reporting (SEBI circular May 2024): half-yearly, from March 2024 onwards, submitted to BSE within 7 working days.
8. Half-yearly report covers registration details, shareholding, NISM certifications/PAIA, social media handles, bank accounts for fee receipt, PO/CO/MD details, advertisements, complaints and ageing, clients, AUM and fee modes.
9. SEBI (Facilitation of Grievance Redressal Mechanism) (Amendment) Regulations, 2023: IA must redress grievances within 21 calendar days of receipt.
10. SCORES complaint is auto-forwarded to the IA and simultaneously to the Designated Body (BSE); the IA uploads the Action Taken Report (ATR) which is auto-routed to the investor.

11 If unhappy, the complainant can ask for a first review within 15 days → Designated Body uploads its ATR within 10 days → second review by SEBI within 15 days → SEBI disposes (may advise ODR).

12 ODR (July 2023): MIIs set up the ODR portal (smartodr.in); IAs had to register by September 15, 2023, link it on website/apps and amend advisory agreements for online conciliation/arbitration.

13 If the complainant opts for ODR or civil remedies while the complaint is pending on SCORES, the SCORES complaint is treated as disposed. Investors can approach ODR at any point.

BSE as IAASB recognised by circular dated
July 12, 2024

IAASB recognition period
5 years from July 25, 2024

Compliance audit deadline
Within 6 months of FY end (by ICAI/ICSI member)

Adverse findings to BSE
Within 1 month of audit report, not later than Oct 31

Half-yearly report to BSE
Within 7 working days

Grievance redressal (SCORES regs 2023)
21 calendar days

Complainant review window
15 days

Designated body ATR
10 days

ODR portal registration deadline
September 15, 2023

🎯 EXAM TIP
Numbers rule this chapter: 12 July vs 25 July 2024, 5 years, 6 months, 1 month/Oct 31, 7 working days, 21 days, 15 days, 10 days, Sept 15, 2023. Also who gets the SCORES complaint simultaneously (BSE as Designated Body).

⚠️ TRAP
21 calendar days (SCORES regs 2023) vs 30 days (older Investor Charter text and an older SEBI order). If asked about the current SCORES/grievance regulation, answer 21. Also: 7 WORKING days (periodic report) vs 21 CALENDAR days (grievance).



Chapter 4 · Weight: High

Compliances with respect to Advertisement Code for Investment Advisers and Market Surveillance Circular

Every IA ad needs mandatory disclosures, must avoid a long list of prohibited claims, and (unless exempt) needs prior BSE approval with its approval number displayed. The chapter also covers the April 2023 SEBI rule on what IA details must be shown everywhere, and how employees and IAs must handle social media and market rumours.

MAKE IT STICK

An IA ad is like a food packet: the label must list ingredients (name, SEBI and BSE numbers, address, standard warning in at least 10-point font), and it can't say 'guaranteed weight loss'. BSE is the food inspector who stamps the packet, and you keep a copy for 5 years.

1. Advertisement = any communication by or on behalf of an IA that influences investment decisions, refers to a product/service/fee plan, claims a service, gives performance details or solicits clients, in physical, electronic or audio-visual form.

2. Mandatory disclosures: IA name and CIN, type and validity of registration, SEBI registration and BSE enlistment number, registered office address with phone, logo/brand/trade name.

3. Standard warning: 'Investment in securities market are subject to market risks. Read all the related documents carefully before investing.' Minimum font size 10; no words added or deleted; accurately translated for non-English ads.

4. Voice-over must be clear: e.g. 20 words running for at least 10 seconds is considered clear and understandable.

5. Also mandatory: 'Registration granted by SEBI, enlistment of IA with Exchange and certification from NISM in no way guarantee performance...'; 'securities quoted are for illustration only and are not recommendatory' on the same slide/frame; BSE Advertisement Approval Number (effective March 15, 2024).

6. Mandatory inclusions: source for statistics/charts; source and period for claims based on independent research; registration numbers for other businesses (MF, IPO, insurance etc.); 'only distributor' disclaimer where applicable.

7. Prohibited: complex/technical language, superlatives like 'Best' or 'Top 1' (factual awards from independent bodies allowed), false or exaggerated statements, BTST/ATST recommendations, promoting a specific scrip, calling a service 'free' unless it truly is.

8. Prohibited: celebrities (top 50 in a celebrity index, influencer with more than 10 lakh followers per handle, national-team sportsperson, TV host for at least 1 season or 10 episodes, etc.), incentives/cashback/coupons, schemes/leagues/competitions.

9. Prohibited: assured/indicative/target or risk-free returns, past performance of the IA, other entities' logos without approval, BSE/SEBI name and logo, logos of securities quoted; ads issued by Associated Persons on their own are not entertained.

10. Exempt (no BSE approval): educational content, press releases/interviews, market commentary, festival greetings, same ad re-designed for another medium, third-party content already approved, previously approved ads reused with only factual updates, research reports to existing clients, internal communication to clients, basic websites, business-expansion communication.

11 Approval process: apply on membershipraia.bseindia.com as 'Advertisement', upload copy with Annexure A (compliance confirmation) and Annexure B (if individuals feature); up to 3 ads per application; fee ₹6,000.

12 Fresh approval only for substantial changes; keep a copy of every ad for 5 years; disown and report to BSE any unauthorised third-party ad and take legal action.

13 Social media: employee access restricted/supervised; no rumours; market news forwarded only after Compliance Officer approval; usage logs kept as records; Compliance Officer liable for breaches.

14 SEBI circular April 06, 2023 (effective May 01, 2023): name, brand, SEBI reg. no. and BSE ID, address, Compliance Officer and Grievance Officer contacts and the 'no guarantee' disclaimer must appear on website, notice boards, ads, KYC forms, agreements and client correspondence. SEBI logo must not be used.

Standard warning minimum font **Size 10**	Clear voice-over example **20 words over at least 10 seconds**
BSE Advertisement Approval Number display **Effective March 15, 2024**	BSE ad approval fee **₹6,000 per application**
Ads per application **Up to 3**	
Retention of ad copies **5 years**	Influencer = celebrity threshold **More than 10 lakh followers per handle**
TV host = celebrity threshold **At least 1 season or minimum 10 episodes**	Celebrity index threshold **Top 50 rankings**
SEBI display-of-details circular **April 06, 2023; effective May 01, 2023**	BASL/BSE Code of Advertisement **May 26, 2023**

🎯 EXAM TIP

Classic questions: what is prohibited vs allowed (awards OK, 'Best' not OK), which ads are exempt, ₹6,000 fee and 3 ads per application, 10-point font, 5-year retention, the 10 lakh follower celebrity threshold, and that the SEBI logo can never be used.

⚠️ TRAP

'Securities quoted are for illustration only' must be on the SAME slide/frame as the securities, not at the end. And an ad re-designed for a new medium with NO content change is exempt, but a substantially changed ad needs fresh approval.



Chapter 5 · Weight: High

Cybersecurity and Cyber Resilience Framework (CSCRF) for SEBI Regulated Entities

SEBI's CSCRF (circular of 20 August 2024) replaces all earlier cyber circulars and grades regulated entities into five categories with progressively tougher controls. For IAs the big news is simple: individual IAs are excluded from CSCRF compliance submission and non-individual IAs are treated as Small-size REs.

MAKE IT STICK

Cyber rules are like building fire codes: a small shop needs an extinguisher and an annual check, a mall needs sprinklers, drills and a fire officer. CSCRF scales the same way: Self-certification → Small → Mid → Qualified → MIIs, and a corporate IA is 'the small shop'.

1. CSCRF: SEBI circular SEBI/HO/ITD-1/ITD_CSC_EXT/P/CIR/2024/113 dated 20 August 2024; overrides and replaces all previous circulars.
2. Five cyber resiliency goals: Anticipate, Withstand, Contain, Recover, Evolve. Cybersecurity functions: Identify, Detect, Protect, Respond, Recover.
3. Four parts: I Objectives and Standards; II Guidelines (some mandatory); III Structured formats for compliance; IV Annexures and References.
4. Five categories: MIIs, Qualified REs, Mid-size REs, Small-size REs, Self-certification REs, based on clients, trade volume, AUM etc.
5. If an RE falls in more than one category, the highest category applies. Category is fixed at the start of the FY using previous-FY data and stays all year.
6. Individual IAs are excluded from CSCRF compliance submission; non-individual IAs are categorised as Small-size REs.
7. Excluded from submission: FPIs, FVCIs, LPCC, QDPs, REITs/InvITs, Vault Managers. Self-certification only: CIS, CRAs, Debenture Trustees.
8. Thresholds example: PMS AUM < ₹1,000 cr = Self-cert, ₹1,000–3,000 cr = Small, ≥ ₹3,000 cr = Mid. AIF < ₹100 cr Self-cert, ₹100–500 cr Small, ₹500–1,000 cr Mid, ≥ ₹1,000 cr Qualified. MF < ₹10,000 cr Small, up to ₹1 lakh cr Mid, ≥ ₹1 lakh cr Qualified.
9. IT Committee mandatory only for Mid-size and Qualified REs, with at least one external independent technology expert; meets quarterly. Without one, compliance is approved by MD/CEO/Board member/Partners/Proprietor.
10. Incident reporting: within 24 hours of detection for Self-cert, Small and Mid REs; within 6 hours for Qualified REs.
11. VAPT: annually for all; starts in the first quarter of the FY; report + MD/CEO declaration within 1 month of completion; findings closed within 3 months of report; open items after 3 months need IT Committee approval.
12. Cyber audit: by a CERT-In empanelled IS auditor; half-yearly for Qualified REs, annually for others; not applicable to Self-cert REs (they file an Annexure-P compliance report). Report within 1 month; closure within 3 months.
13. Qualified REs must obtain ISO 27001 within 1 year of CSCRF; red teaming half-yearly and threat hunting quarterly apply only to Qualified REs.
14. Cybersecurity layers: physical, network, perimeter, cloud, endpoint, application and data security.

CSCRF circular date	Resilience goals	Non-individual IA category
20 August 2024	**5: Anticipate, Withstand, Contain, Recover, Evolve**	**Small-size RE**

Individual IA **Excluded from CSCRF compliance submission**	Incident reporting (Qualified) **6 hours**	Incident reporting (others) **24 hours**
VAPT frequency **Annually, starting Q1 of FY**	VAPT / cyber audit report **Within 1 month of completion**	Closure of findings **Within 3 months of report**
Cyber audit (Qualified) **Half-yearly; others annually**	ISO 27001 for Qualified REs **Within 1 year**	

🎯 EXAM TIP

Questions love: the 5 goals (vs the 5 functions), IA categorisation (individual excluded, non-individual = Small), highest-category rule, 6 vs 24 hours, VAPT/cyber audit 1 month/3 months, and who must have an IT Committee.

⚠️ TRAP

'Recover' appears in BOTH lists (resilience goals and cybersecurity functions); 'Evolve', 'Withstand', 'Contain', 'Anticipate' are goals; 'Identify', 'Detect', 'Protect', 'Respond' are functions. And Self-cert REs do not get a cyber audit; they self-certify.



Chapter 6 · Weight: High

Ethics: Code of Conduct, Fiduciary Duty (Recent Orders) and Investor Charter

A refresher on the three codes that bind an IA (IA Regulations Third Schedule, Intermediaries Regulations Schedule III, PIT Regulations), the mandatory Investor Charter, monthly complaint disclosure, and real SEBI penalty orders showing how advisers actually break fiduciary duty.

MAKE IT STICK

The codes are the rule book; the SEBI orders are the match replays showing the fouls: fees above ₹1,25,000 under the fixed-fee mode, risk profiling done on a phone call with no record, a questionnaire rigged to label everyone 'high risk', and 'Top Advisor' ads with fake testimonials.

1. IA Regulations Third Schedule code: honesty and fairness, diligence, capabilities, information about clients, information to clients, fair and reasonable charges, conflicts of interest, compliance, responsibility of senior management.
2. Senior management of a body corporate IA bears primary responsibility for standards of conduct.
3. Intermediaries Regulations 2008, Schedule III: protect investors; no fee increase without proper notice; prompt disbursal of dividends/interest; no misrepresentation or exaggeration; no disclosure of client data without consent (unless law requires).
4. Also: avoid/disclose conflicts, no insider trading (directly or via family/friends), good governance, data backup, inform SEBI promptly of actions against it, arm's-length relationship with other registered activities.

5 PIT code: compliance officer reports to the board/Audit Committee chair at least once a year; need-to-know handling of UPSI; Chinese walls; 'restricted list' for pre-clearance of trades; designated persons and immediate relatives governed by the code; violations reported to stock exchanges.

6 Investor Charter (Dec 2021), mandatory on website. Vision: 'Invest with knowledge & safety'.

7 Charter duties: agreement with fee details, unbiased risk profiling and suitability, KRA and CKYC registration, annual audit, complaint status on website, qualified/certified staff only, deal from official numbers, keep records of advice-related talks even with prospects.

8 Investor don'ts: never give funds for investment to the IA, never share trading/demat login, don't fall for assured returns, stock tips or limited-period discounts; pay fees only through banking channels.

9 Monthly complaints data on website/app: received from investors, SEBI (SCORES), others; pending > 3 months; average resolution time.

10 Average resolution time = total days taken to resolve each complaint in the month ÷ number of complaints resolved in the month.

11 Order lessons: no SEBI intimation for change in control; no SCORES registration; fees via payment gateway; no written AML (PMLA) procedures and outsourcing it.

12 Order lessons: no valid NISM X-A for about 16 months; fees above ₹1,25,000 p.a. under fixed-fee mode; sharing SCORES complaint data with third parties; collecting GST without GST registration.

13 Order lessons: uncertified PAIA/sales staff; no agreements, call recordings or KYC; misleading risk questionnaires; unregistered office; fake testimonials; risk profiling only on phone; not registering with CKYC (CERSAI); fees above investment amount/income; non-individual IA name missing 'investment adviser'.

Investor Charter issued
December 2021

Charter vision
Invest with knowledge & safety

Charter grievance timeline
30 days (now 21 days under 2023 SCORES regs)

Fixed-fee cap cited in order
₹1,25,000 per annum

PIT: compliance officer reports to board
At least once a year

X-A lapse in a penalty order
About 16 months

CKYC agency
CERSAI

🎯 EXAM TIP

Expect 'which is a violation' questions built from the 7 SEBI orders, the nine Third-Schedule principles, investor do's and don'ts, and the average resolution time calculation.

⚠️ TRAP

'Fair and reasonable charges' and 'Conflicts of interest' are IA Third Schedule items; 'Disbursal of amounts' and 'Intermediary infrastructure requirements' belong to the Intermediaries Schedule III. And a non-individual IA MUST have 'investment adviser' in its name.



Chapter 7 · Weight: Medium

Behavioural Finance: A Refresher

Why investors make the decisions they do: evolution, technology and personal experience shape biases such as anchoring, confirmation, recency, herding, ambiguity aversion and myopic loss aversion. The adviser's job is to spot them and keep clients on plan.

MAKE IT STICK

A client sees a ₹1,000 shirt marked down to ₹399 and feels he's won; that's anchoring. Next he checks his portfolio every morning, sees red, and moves to bonds; that's myopic loss aversion. Your job is to be the calm friend who says 'look at the goal, not today's number'.

1. Decision-making is shaped by evolution (hard wiring, information processing, coping), technology (computers since 1980s, internet/smartphones, algo trading and AI) and personal experience (hardest beliefs to break).
2. Anchoring: relying too heavily on the first piece of information (e.g. waiting for the 'right price' to sell a loser).
3. Confirmation bias (also called myside bias): seeking or interpreting information to confirm existing beliefs.
4. Recency bias: deciding on the most recent results; 'this time it's different' (Buffett).
5. Herding: following the crowd; Keynes: 'better for reputations to fail conventionally than to succeed unconventionally'.
6. Ambiguity aversion: preferring known risks to unknown ones (Ellsberg paradox: more people choose the bag with a known 50–50 mix).
7. Myopic loss aversion: greater sensitivity to losses plus frequent evaluation; losing $100 hurts about twice as much as gaining $100; people take a risk only when potential gain is about 2× the expected loss.
8. Frequent review makes portfolios conservative: reviewed yearly ≈ 70% stocks / 30% bonds vs reviewed monthly ≈ 41% stocks / 59% bonds.
9. Information overload: about 5 hours 24 minutes a day on mobile; phones checked about 96 times a day (once every 10 minutes).
10. Other biases: ownership bias (endowment effect), gambler's fallacy, winner's curse (overpaying to win a bid), loss aversion leading to inaction.

11 Four strategies: know yourself, avoid panic selling, stay focused on long-term goals, consult your financial representative regularly.

12 Nearly 7 in 10 investors working with an adviser have a formal financial plan; markets have historically recovered from crises over the long term.

Pain of loss vs pleasure of gain	Yearly-reviewed portfolio	Monthly-reviewed portfolio
About 2×	70% stocks / 30% bonds	41% stocks / 59% bonds

Phone checks per day	Daily mobile time	Investors with adviser having a formal plan
About 96 (once every 10 minutes)	About 5 hours 24 minutes	Nearly 7 in 10

🎯 EXAM TIP
Scenario questions: describe a client behaviour, name the bias. Also the remedies table (e.g. herding remedy: 'by the time everyone is heading one way, it's usually time to head the other').

⚠️ TRAP
Ambiguity aversion (fear of UNKNOWN probabilities) is not loss aversion (fear of losses). Gambler's fallacy (seeing patterns in random events) is not recency bias (overweighting recent data).



Chapter 8 · Weight: Medium

Asset allocation strategies

Asset allocation is at the core of advice. The chapter covers Charles Ellis's four truths, two tests of a good long-term portfolio, and five strategies: strategic (drifting or constant-weighting), tactical/dynamic, insured and integrated, and how to judge them.

MAKE IT STICK
Strategic allocation is setting a car's cruise control for a long highway trip. Tactical is overtaking when you see an opening. Insured is a guard rail that never lets you fall below a minimum. Integrated is a smart car doing both as your destination changes.

1 Four truths (Charles D. Ellis's foreword to Roger C. Gibson's 'Asset Allocation: Balancing Financial Risk', 4th edition): the mix of assets is the most important decision; the real purpose and time of use of money; diversify within and between asset classes; be patient and persistent.

2 Active investors who ignore these truths pay higher fees, costs of change and taxes and suffer 'loss leaks'.

3 Investors' decisive advantage: knowing themselves and accepting markets as they are, like the weather.

4 Two tests of a long-term portfolio: the investor can and will live with it; its long-term expected results will meet the investor's own priorities.

5 Strategic asset allocation (SAA): long-term target weights based on risk tolerance and goals; ideal for long-term goals such as retirement.

6 Drifting SAA: once set, weights are allowed to drift with prices. Constant-weighting SAA: periodically rebalanced back to target weights.

7 Tactical/dynamic: deviating from SAA based on opportunities, momentum, valuation changes or the fund manager's views; may be rule-based or discretionary, short or long term.

8 Insured asset allocation: protects a minimum portfolio value, usually by shifting the mix as markets worsen.

9 Integrated asset allocation: combines SAA and dynamic strategies, adjusting to the client's evolving goals and market conditions.

10 Evaluate strategies on risks, transaction costs and taxes, and behaviour management.

11 Key test: the investor should be able to stay with the allocation for the desired time horizon.

Number of 'truths'	**4 (Ellis)**
Tests of a long-term portfolio	**2**
SAA sub-types	**Drifting and constant-weighting**
Strategy with minimum-value floor	**Insured asset allocation**
SAA + dynamic combined	**Integrated asset allocation**

🎯 EXAM TIP

Match-the-definition questions: drifting vs constant-weighting, insured vs integrated, tactical triggers (momentum, valuation, FM views). Also the two tests and the three evaluation criteria.

⚠️ TRAP

Constant-weighting is still STRATEGIC (it rebalances to the same target); tactical means deliberately moving AWAY from the strategic weights.

🧮 Formulas

Average resolution time of complaints (monthly disclosure)

```
Average resolution time (days) = Sum of days taken to resolve each complaint in the month ÷ Number of complaints resolved in the month
```

In June an IA resolved 4 complaints in 6, 10, 14 and 18 days. Average = (6+10+14+18) ÷ 4 = 48 ÷ 4 = 12 days.

Pending complaints at month end

```
Pending = Pending at end of last month + Received - Resolved
```

Pending at start 3, received 7, resolved 8 → pending at month end = 3 + 7 – 8 = 2.

Constant-weighting rebalancing

```
Amount to move = (Actual weight - Target weight) × Portfolio value
```

Target 60:40 equity:debt. Portfolio ₹10 lakh drifts to ₹7 lakh equity / ₹3 lakh debt (70:30). Sell (70%–60%) × ₹10 lakh = ₹1 lakh equity and buy ₹1 lakh debt to return to 60:40. Under a drifting SAA you would leave it at 70:30.

🔢 Numbers to remember

50 MCQs × 1 mark, 60 min, pass 25 (50%), no negative marking X-C exam	**About 2-3 hours, proctored** X-C training videos	**₹2,500 / 3 years** X-C fee / validity
₹10 lakh per investor New asset class minimum	**3 years' operation + ₹10,000 crore AUM** New asset class MF eligibility	**6-8% / 8-10% p.a.** REIT yield / InvIT yield
2014 (first launch 2019) REITs introduced	**3 years → 1 year** REIT/InvIT LTCG holding period	**1 year or 2 years** Budget 2024 holding periods
July 23, 2024 Sale-date cut-off	**Circular July 12, 2024; 5 years from July 25, 2024** BSE recognised as IAASB	**Within 6 months of FY end** Annual compliance audit
1 month from audit report, latest Oct 31 Adverse audit findings to BSE	**Within 7 working days** Half-yearly report to BSE	**21 calendar days** Grievance redressal
Complainant 15 days; Designated body ATR 10 days SCORES review windows	**September 15, 2023** ODR registration deadline	**Minimum size 10** Standard warning font
20 words, at least 10 seconds Voice-over clarity example	**From March 15, 2024** BSE approval number on ads	**₹6,000 per application (up to 3 ads)** BSE ad fee
5 years Ad record retention	**> 10 lakh followers per handle** Celebrity influencer	**≥ 1 season or 10 episodes** Celebrity TV host
April 06, 2023, effective May 01, 2023 Display-of-details circular	**20 August 2024** CSCRF circular	**6 hours (Qualified) / 24 hours (others)** Incident reporting
Annual, start in Q1; report in 1 month; close in 3 months VAPT	**Half-yearly (Qualified) / annual (others)** Cyber audit	**Within 1 year** ISO 27001 for Qualified REs
< ₹1,000 cr Self-cert; ₹1,000-3,000 cr Small; ≥ ₹3,000 cr Mid PMS CSCRF bands	**₹1,25,000 p.a.** Fixed-fee cap cited in order	**About 2x** Loss vs gain pain

Yearly 70/30 vs monthly 41/59 (stocks/bonds)

Review frequency effect

📖 Glossary

IAASB	Investment Adviser Administration and Supervisory Body; BSE Limited, recognised by SEBI from July 25, 2024.
RAASB	Research Analyst Administration and Supervisory Body; also BSE.
BASL	BSE Administration & Supervision Ltd, the earlier BSE subsidiary that supervised IAs; now BSE itself.
Client-level segregation	IA Regulations requirement to keep advisory and distribution services segregated at client level; confirmed by an annual auditor's certificate that forms part of the compliance audit report.
PAIA	Persons Associated with Investment Advice; must meet qualification and NISM certification requirements.
SCORES	SEBI Complaint Redress System, SEBI's web-based centralised grievance portal (scores.gov.in).
ATR	Action Taken Report uploaded on SCORES by the IA (21 days) or Designated Body (10 days).
Designated Body	The body that receives a copy of SCORES complaints and handles first review; BSE for IAs.
ODR	Online Dispute Resolution portal (SMART ODR) set up by MIIs for online conciliation and arbitration.
MII	Market Infrastructure Institution: stock exchanges, clearing corporations, depositories.
BTST / ATST	Buy Today Sell Tomorrow / Acquire Today Sell Tomorrow; such recommendations are prohibited in IA ads.
Standard warning	'Investment in securities market are subject to market risks. Read all the related documents carefully before investing.'
Associated Person	Person linked to an IA; ads issued by them on their own are not entertained by BSE.
CSCRF	Cybersecurity and Cyber Resilience Framework for SEBI Regulated Entities (Aug 20, 2024).
RE	Regulated Entity (of SEBI).
VAPT	Vulnerability Assessment and Penetration Testing; annual for all categories.
CERT-In	Indian Computer Emergency Response Team; cyber audits must be done by CERT-In empanelled IS auditors.
CCMP	Cyber Crisis Management Plan; fully developed one required for Qualified REs.
SBOM	Software Bill of Materials / list of critical assets, required for all categories.

UPSI	Unpublished Price Sensitive Information under the PIT Regulations.
Chinese wall	Information barrier separating those who hold UPSI from others; crossing it needs a process.
Restricted list	Confidential list kept by the compliance officer for approving or rejecting pre-clearance of trades.
KRA / CKYC	KYC Registration Agency / Central KYC Registry (run by CERSAI); IAs must register with both.
Investor Charter	SEBI-mandated document (Dec 2021) on IA services, timelines and investor rights, displayed on the IA's website.
REIT / InvIT	Trusts that own, operate or finance income-producing real estate / infrastructure and distribute income to unit holders.
Indexation	Inflation-adjusting the purchase cost for long-term gains; removed in Budget 2024.
Grandfathering	Protecting gains accrued before a rule change from the new tax.
Tax-loss harvesting	Booking losses to set off against gains; still possible after Budget 2024 but with fewer opportunities.
Myopic loss aversion	High sensitivity to losses combined with frequent portfolio checking, leading to overly conservative portfolios.
Ellsberg paradox	Experiment showing people prefer a bet with known odds over one with unknown odds (ambiguity aversion).
Winner's curse	Overpaying to win a competitive bid; a behavioural win but a financial loss.
Strategic asset allocation	Long-term target asset mix based on risk tolerance and goals; drifting or constant-weighting.
Insured asset allocation	Strategy that protects a minimum portfolio value by adjusting the mix as markets worsen.

⚡ Quick revision: the night before

1. X-C = 50 MCQs, 1 mark each, 60 minutes, pass 25/50, no negative marking; valid 3 years.
2. Eligibility: valid X-A + X-B; one expiring within 12 months.
3. New asset class: between MF and PMS; minimum ₹10 lakh; MF route = 3 years + ₹10,000 crore AUM.
4. New asset class allows derivatives beyond hedging and relaxed single-issuer/sector limits; separate branding.
5. REITs: SEBI 2014, first 2019, 3 major, yield 6–8%. InvITs: first 2019, ~7 listed, yield 8–10%.
6. Budget 2024: two holding periods (1 or 2 years), indexation removed, 80C/80D unchanged.
7. REIT/InvIT long-term period cut from 3 years to 1 year.
8. Sale-date cut-off July 23, 2024; purchase-date cut-off April 1, 2024.
9. BSE = IAASB: circular July 12, 2024; 5 years from July 25, 2024; Regulation 14.
10. Compliance audit by ICAI/ICSI member within 6 months of FY end (Reg 19(3)).
11. Adverse audit findings to BSE within 1 month of report, not later than October 31.
12. Half-yearly report to BSE within 7 working days.
13. Grievance: resolve within 21 calendar days; complaint goes to IA and BSE simultaneously.
14. SCORES reviews: complainant 15 days → designated body ATR 10 days → SEBI.
15. Choosing ODR while a SCORES complaint is pending = complaint disposed on SCORES.
16. ODR registration by September 15, 2023; link on homepage; amend agreements.
17. Standard warning: font ≥ 10, no edits, translated accurately; voice-over 20 words ≥ 10 seconds.
18. BSE Advertisement Approval Number on ads from March 15, 2024.
19. BSE ad approval: ₹6,000, up to 3 ads per application, Annexure A + B.
20. Keep ad copies 5 years; fresh approval only for substantial changes.
21. No superlatives (awards from independent bodies OK), no BTST/ATST, no assured returns, no past performance.
22. Celebrity: top 50 index, > 10 lakh followers, national-team athlete, TV host ≥ 1 season/10 episodes.
23. Never use SEBI logo; BSE/SEBI name and logo prohibited in ads.
24. Display-of-details circular: April 06, 2023, effective May 01, 2023.
25. CSCRF: 20 Aug 2024; 5 goals Anticipate-Withstand-Contain-Recover-Evolve.
26. Individual IA: excluded from CSCRF submission. Non-individual IA: Small-size RE.
27. Highest category applies; category fixed at start of FY from previous FY data.
28. Incident reporting: 6 hours Qualified, 24 hours others.
29. VAPT annual, start Q1, report in 1 month, close in 3 months.
30. Cyber audit by CERT-In empanelled auditor: Qualified half-yearly, others annual; none for Self-cert.
31. IT Committee (with ≥1 external independent tech expert) mandatory only for Mid and Qualified REs.
32. Investor Charter Dec 2021; vision 'Invest with knowledge & safety'.
33. Investors must never give funds or demat passwords to an IA; pay fees via banking channels.
34. Fixed-fee cap cited in SEBI order: ₹1,25,000 p.a.
35. Non-individual IA's name must include 'investment adviser'.
36. Loss hurts ~2× a gain; monthly reviewers hold 41% stocks vs 70% for yearly reviewers.
37. SAA = drifting or constant-weighting; insured = floor; integrated = SAA + dynamic.

🗓️ 7-day study plan (1.5 h/day)

Days 1: Ch 1–2: New products and tax changes

- Read chapter notes 1–2 and mustRemember cards
- Make a 1-page table: REIT vs InvIT vs new asset class
- Do Mock 1

Days 2: Ch 3: BSE as IAASB, audit, reporting, SCORES, ODR

- Draw the SCORES flow (21 → 15 → 10 → SEBI)
- Memorise all dates in the chapter
- Do Mock 2

Days 3: Ch 4: Advertisement code

- List mandatory disclosures, prohibitions and exemptions in three columns
- Learn the celebrity thresholds
- Do Mock 3

Days 4: Ch 5: CSCRF

- Memorise goals vs functions
- Learn IA categorisation and the 6/24-hour, 1/3-month timelines
- Do Mock 4

Days 5: Ch 6–8: Ethics, orders, behavioural finance, asset allocation

- Read the 7 SEBI orders and write the one-line lesson from each
- Match each bias to a client story
- Do Mock 5

Days 6: Tough practice

- Do Mock 6 under 60-minute timer
- Re-read explanations of every wrong answer
- Revise numbersToRemember

Days 7: Final simulation and revision

- Do Mock 7 under timer
- Run the 50-question simulator once
- Read quickRevision before sleeping

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.